

- The **Adventurer**: Adventurers may hold highly undiversified portfolios because they are confident and willing to take chances. Their confidence leads them to make their own decisions and makes them reluctant to take advice. This presents a challenge for an investment adviser.
- The **Celebrity**: Celebrities like to be the center of attention. They may hold opinions about some things, but to a certain extent recognize their limitations and may be willing to seek and take advice about investing.
- The **Individualist**: Individualists are independent and confident, which may be reflected in their choice of employment. They like to make their own decisions but only after careful analysis. They are pleasant to advise because they will listen and process informational rationally.
- The **Guardian**: Guardians are cautious and concerned about the future. As people age and approach retirement, they may become guardians. They are concerned about protecting their assets and may seek advice from those they perceive as being more knowledgeable than themselves.
- The **Straight Arrow**: Straight arrows are sensible and secure. They fall near the center of the graph. They are willing to take on some risk in the expectation of earning a commensurate return.

FIGURE 26.2 BB&K Classifications

Figure 26.1 includes a synopsis of BB&K's descriptions of each of the five investor personality types that the model generates (Kaiser 1990).

Although this model may be useful, it is possible that investors do not approach all parts of their life with equal confidence or care. It is important to focus on the approach to investing rather than placing undue focus on evidence from other aspects of their life. In addition, a limitation of all categorization schemes is that an individual's behavior patterns may change or lack consistency.

THE BEHAVIORAL ALPHA PROCESS: A TOP-DOWN APPROACH

The Behavioral Alpha approach is a multi-step diagnostic process that results in clients being classified into one of four behavioral investor types